

K. Venkatachalam, Chief Advisor of the Tamilnadu Spinning Mills Association (TASMA), says the average yarn spinner's margins have reduced from 8 per cent to 5 per cent now because they have not passed on the entire hike in costs to garment manufacturers. "By mixing fresh cotton and old cotton, we are balancing prices such that we are able to offer it at ₹430 a kg. If we had passed on the entire hike, it would have been above ₹460 per kg," he says, attributing the unusual price hike to an artificial demand created by MNCs and traders who hoard the raw material in agreement with farmers. "Cotton-growing farmers also check the NYSE trading prices these days and think twice before selling it. That's why there is a shortage for domestic consumption," says D.M. Kumar, CEO of Eastern Global Clothing, a small-sized exporter. On the other hand, India is exporting cotton to neighbouring countries and imposing import duty on cotton, says CEO N. Thirukkumaran of Esstee Exports, which counts Guess among its clients. "Both ways we are stuck."

The government has intervened by temporarily withdrawing the 10 per cent import duty on cotton from April 14 to September 30, 2022, to boost supply from Australia,

**₹93,499**

**THE COST OF ONE CANDY (356 KG) OF COTTON IN APRIL 2022. ITS COST WAS ₹40,500 IN OCT-NOV 2020**

**₹410**

**THE COST OF ONE KG OF 30S COUNT COTTON YARN IN APRIL 2022. ITS PRICE WAS ₹221 IN OCTOBER 2020**

the US and Africa, and ease yarn prices until the next cotton harvest season in October. But the irony is that India is the world's largest cotton producer. Yet, Bangladesh—to which we export cotton—has become our biggest competitor, the exporters say. "We have allowed our cotton to be exported to the neighbouring countries. They have a 10 per cent duty advantage. So, they buy cotton from us, spin the yarn and sell it against us in the sense that we create our own competitors like Bangladesh and Vietnam," says A. Sakthivel, President of Federation of Indian Export Organisations (FIEO) and ex-chairman of Apparel Export Promotion Council (AEPCC).

He is referring to duty-waiver pacts Bangladesh and Vietnam have with garment-importing nations. That's a 10 per cent cost benefit straightaway that Bangladesh offers over India. Add to that cheaper labour, and they become significantly more price competitive than us. If a basic T-shirt made in India costs ₹100, it may cost ₹75 in Bangladesh, and ₹70 in Cambodia and Vietnam. American and European buyers simply cannot afford to not place their orders with them, exporters say. "So, large-volume business of 100,000-200,000 pieces a style goes away to Bangladesh. Their costs, line production capacity and line scaling are all suited to that. Only the orders they are not able to meet come to India," says Krish.

**T**HESE SMALL neighbouring nations contribute 8.6 per cent to the global share, while India's share has stagnated at a minuscule 3.4 per cent, leaving us at seventh position. "India's garment exports over the past five years have remained between \$16 billion and \$17 billion. When we were doing \$5 billion-worth of garment exports, Bangladesh was doing \$3 billion. Now, they are at \$40 billion. Vietnam was at \$1 billion, now they are at \$27 billion, again because of duty-free status [of exports] to Europe," says Sakthivel.

Concerning as the cotton yarn price hikes may be, the unnatural surge is only a relatively recent phenomenon. But it reveals the deeper issue keeping Tiruppur and, by extension, India from exporting more—dependence on cotton, a seasonal crop.

#### **FALLING BEHIND**

There are only a handful of Indian companies which make high-quality synthetic yarns that match up to international standards, say exporters

#### **DWINDLING INTEREST**

People from around Tamil Nadu prefer jobs involving computers instead of sewing machines

